

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Macro Overview:

Tech stocks have been trending lower this week as investors worry about high valuations and slower-than-expected rate cuts. Even so, Nvidia surprised markets with stronger earnings and guidance, showing that demand for AI hardware remains solid. Still, the market remains cautious about whether AI-related companies can translate rapid growth into consistent, long-term profitability.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-1.67%	-0.86%
TSX	+0.13%	+0.35%
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.091%	4.148 (+1.34%)
Canada 10 Year Bond Yield	3.228%	3.234 (+0.94%)

The Beta of the Beta

Article 1: Bitcoin Is on the Verge of Erasing Year's Gain as Rout Deepens

Author, Source & Date Published: Sidhartha Shukla & David Pan, November 14th, 2025

Link: [Bloomberg](#)

Overview

Bitcoin, a payment crypto currency, has experienced a strong pull back, hitting its second highest daily redrawal. **Bitcoin is currently trading below the 100,000 USD benchmark** it surpassed a few months ago.

Economic Context:

Lack of economic data has caused panic among investors, as the **December interest cut, doesn't seem as certain as a few weeks ago**. Traders believe there is around a 50% chance that the Fed will cut 25 bps.

Risk and Catalysts:

- **Risks:** there is high volatility that has erased millions of dollars in market capitalization. This highlights the risky nature of cryptocurrencies, as their **price is fundamentally correlated with investor confidence and appetite for higher risk**, which is not currently the case.
- **Catalyst:** Many traders see this volatile environment as an opportunity, and started placing orders on the options markets. **Traders make bets using strangles**, which involve buying options contracts at the same price, and aim to make money out of a bit of a spike in volatility, independently if the price of bitcoin goes up or down.

Educational Angle:

Disclaimer: Cryptocurrencies are very risky and you should not fall into FOMO.

What is the role of cryptocurrencies in today's world?

First of all, this is a very broad question that needs to be broken down according to the specific digital asset that we are analysing. All digital assets have a constitutional document, called the **white paper**.

Under this white paper, the creator of the cryptocurrency outlines critical information like:

- What type of problem is this cryptocurrency trying to solve?
- How does the technology of the digital asset work
- How many tokens will exist?

Before buying any cryptocurrency, it's important to understand what problem the asset is trying to solve. Not all crypto projects are built for the same purpose. For example, **Bitcoin (BTC)** was created to be a [global digital currency](#). **Ether (ETH)**, on the other hand, is designed to power a platform where people can run [smart contracts and build decentralized apps](#).

To understand these differences, you need to know what a **blockchain** is. Each cryptocurrency has its own blockchain with its own rules.

A blockchain is basically a digital database that stores information in a chain of "blocks," where each block is securely linked to the previous one. Once something is recorded, it can't be changed.

A good example is the [Bitcoin blockchain](#): it keeps a public, permanent record of every BTC transaction ever made. Anyone can look it up, but no one can go back and edit it.

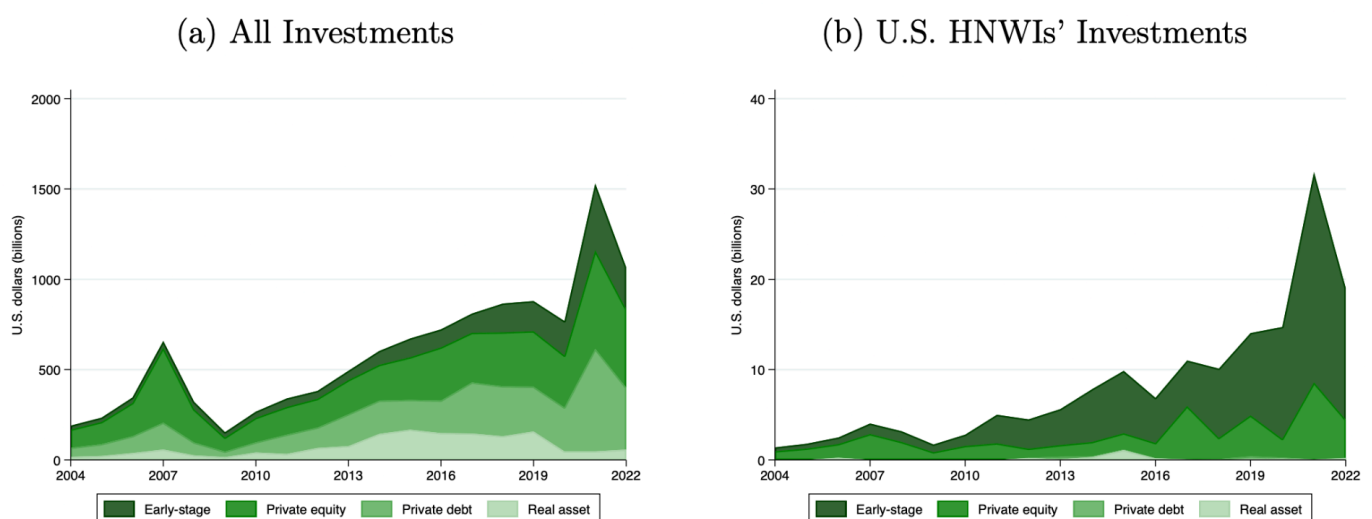
Article 1: Private Equity, Public Inequality

Author, Source & Date Published: Ararat Gocmen, Clara Martínez-Toledano, Vrinda Mittal, July 8th, 2025

Link: [Private Capital Markets and Inequality](#)

Overview:

Only the wealthiest individuals have access to private capital markets.¹ The increase in high-net-worth individuals (HNWIs) who fund private companies has diminished the incentive for companies to go public and exacerbated wealth inequality.²



Investment in early stage companies by high network individuals has increased from \$0.4 billion in 2004 to almost \$15 billion in 2022! Graph by Goceman et al.

Key Takeaways

1. The authors use **tax incentives by the federal government on QSBS as a semi-exogenous shock** to see their effect on investment in private capital markets and companies' incentives to remain private.

Educational Angle: QSBS and tax incentives

After the 2008 financial crisis, the federal government wanted to incentivize further investment in the private capital market. So they expanded existing **tax exclusion on long-term capital gains from the sale of qualified small business stock (QSBS)**.

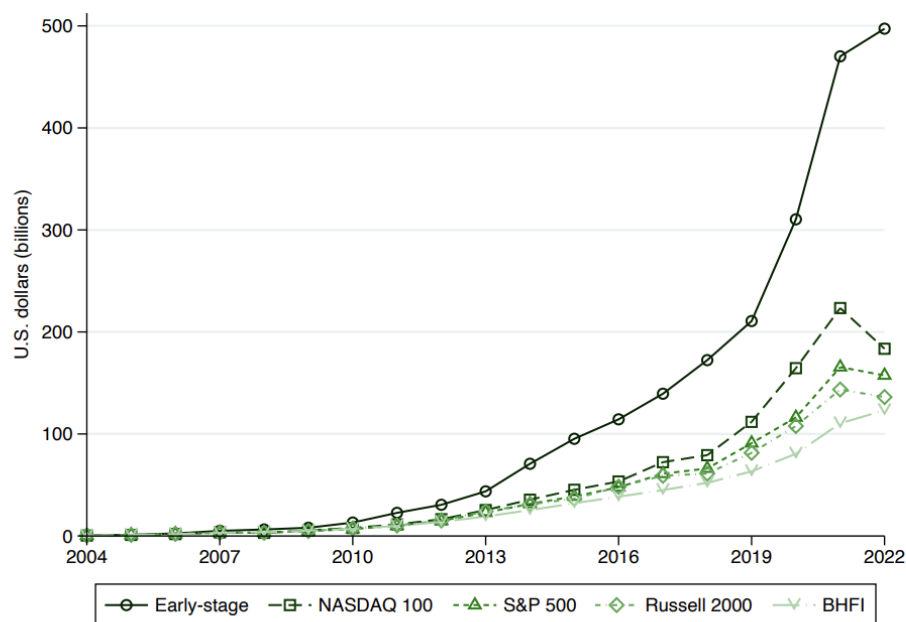
¹ Jensen et al., 2017; Mikhail, 2022

² High-net-worth individuals are those who satisfy the U.S. Securities and Exchange Commission's (SEC) definition of accredited investors

If a given early-stage company checked a number of boxes and qualified, then HNWI's who invested in said company would be excluded from paying capital gains taxes. Originally this inclusion was 50% for the first \$10 million in 1997, after 2008 it got bumped up to 75% and eventually cemented at 100% in 2015. **This is a level of tax exemption that the general public gets no access to when they trade on the public market.** The expansion of the incentive represents an excellent treatment start-date for the authors.

2. In light of this new incentive, HNWI's investment in start-ups has tripled and the value of these investments is almost double what it would have been had they invested in publicly-traded indexes. In short, **a market that is only accessible to the wealthy, outperforms the markets that are available to everyone else.**

(a) Accumulated Value by End of Year



3. Using a difference-in-difference design, the authors show that **companies that were eligible for the tax incentive are 3.5 percentage points more likely to remain private**; reserving their returns for a selected few.

Education Angle: How is diff-in-diff applied in this context?

For those of you who have not yet basked (suffered?) In the world of identification strategies, diff-in-diff is a good one to keep in mind. For instance, in the case of QSBS tax incentives, **not all start-up companies qualified at the time of implementation.** So take this shock (sudden increase in capital gains exclusion) after 2008; its impacts are bound to be more pronounced on companies that actually qualified compared to others. So the

authors found **companies that were similar in all characteristics except their qualification for QSBS.**

I know what you're thinking. Well if they didn't qualify doesn't that mean that they're fundamentally not similar to the ones that did and our identification strategy is ineffective? Not exactly, the terms of QSBS are quite elaborate. For instance, a company's gross assets must have never exceeded \$50 million. So if we have two companies, one with \$55 million and the other \$50 million, one would have qualified over the other while there are no huge differences between the two. That's what the authors count on to show causal relationship.

Getting back to diff-in-diff, the authors looked at the **trends in non-qualifying companies before and after 2008, did the same for the qualifying ones and then took the difference of the difference.** That's the treatment effect we are interested in.

4. Building on their previous identification strategy and using state-level variation to tax exemptions, the authors show that **the higher investment in private capital markets by HNWI's increased the state-level income gap between the top 0.5% and bottom 99.5% by about 4.1%!**

Are you surprised?

Probably not, the QSBS tax-exemption device is inherently targeted at the wealthy and welcomes them into a market that continuously outperforms public securities. It is also a market that is not accessible by the average investor. While the original intent may have been to boost the economy at a time of financial crisis, **that same mechanism is now contributing to wealth inequality.** Funding start-ups is a crucial concern for any capitalist system, but the incentive has also deterred these companies from going public. Why would they? The high networth individuals in the U.S. keep the funds flowing without posing the hassle of dealing with the public.

The paper puts forth strong and rigorous evidence that **economic policies and incentives must be revised often.** Either public equity becomes more accessible to the regular investor by offering more education or incentives and regulation are revisited with wealth inequality as an urgent priority.

Career Spotlight

The not-so-talked-about Canadian Securities Certificate (CSC)

In the hustle and bustle of deciding the next mini-course or certificate that will land you that job or internship, there's one certificate that doesn't get much attention: Canadian Securities Certificate (CSC). CSC is offered by the Canadian Securities Institute and the reason it's not as popular is not completely surprising. It's not as technical or rigorous as the training you would get with CFA level 1. And it's not exactly the gold standard when it comes to the "finance bro" lifestyle. And yet it can be a less intense, more cost-effective introduction into financial markets and especially how they are regulated and communicated in Canada. Taking the exam does not require any prior financial experience and it's a well-respected qualification within commercial banking positions.

In a CSC course you can expect to learn:

1. How the Canadian investment marketplace works (economy, regulation, major players)
2. Different kinds of securities: equities (stocks), fixed income (bonds), derivatives, ETFs, mutual funds
3. How companies are financed, how markets trade, listing of securities, regulatory environment in Canada
4. Portfolio management basics, how to analyze companies, taxation & client types (retail vs institutional)
5. Ethics & industry standards: if you're going to give advice or handle clients, this matters.

CSC is popular with people who are shifting careers and can work towards portfolio management positions if built upon with other courses. It's not the fanciest, but **it can have some value if you're not ready to commit all the way to the finance world.**

For more information click here ->[CSC Link](#)